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PART I: CLIENT ACCEPTANCE EVALUATION

Janata Bank PLC's Statutory audit for the year ending 31 December 2026.

Basis of Evaluation

This client acceptance evaluation has been prepared on the basis of official information on the Janata Bank PLC along with the audited Financial Statements of the Bank for the years 2021-2025, the Independent Auditors' reports and relevant banking regulations of Bangladesh. The audited latest financial information shows that Janata Bank PLC is a large state-owned commercial bank of great public interest but at the same time has a very high audit risk due to the poor quality of loans, the non-performing loans, shortfall in provisions, poor capital adequacy, liquidity concerns, and foreign exchange concerns (Janata Bank PLC, 2025).

A. Research and Analysis

1. Janata Bank's Operations

Janata Bank PLC is one of the biggest commercial banks of the State in Bangladesh. As per the official profile of the Bank, it is a second largest state-owned commercial bank of Bangladesh and operates its banking services through an extensive branch network comprising 925 branches, sub-branches and overseas branches in United Arab Emirates (Janata Bank PLC, n.d.-a).

Its main business activities involve collection of deposits, loans and advances, corporate banking, SME banking, trade financing, import/export financing, foreign remittance, treasury, guarantees, letters of credit, and foreign exchange services. The financial statement of Janata Bank further describes its commercial activities, including the receipt of deposits, lending and advances, bills discounted and purchased, money transfer, foreign exchange activities, guarantees and commitments, and treasury activities (Janata Bank PLC, 2023).

From an audit client acceptance perspective, the size and public-interest nature of the engagement makes Janata Bank a more significant client for the audit clients. The bank has a large volume of deposits, loans, government securities, foreign exchange transactions and off-balance sheet exposures. This would not just involve a standard financial statement audit but a detailed audit of

credit risk, regulatory compliance, IT systems, branch controls, the treasury valuation, foreign exchange exposure and going concern assessment.

The financial trend indicates that there was a sharp increase in the bank's exposure to loans from 2021 to 2025, followed by a decline in profitability and capital strength. Loans and advances were approximately Tk 70,152 crore in 2021 and increased to more than Tk 100,000 crore by 2024–2025 (Janata Bank PLC, 2021; Janata Bank PLC, 2024). While this increase in the loan book would be a positive, it is a serious audit issue because it occurred at the same time as very high classified loans, significant provisions shortfalls and repeated modified audit opinions.

The 2025 Independent Auditors' report gave rise to a qualified opinion on the accounts and reported a number of serious issues, such as the very high ratio of NPLs, inadequate provision for loans and advances, provision shortfall for the balance sheet and off-balance-sheet exposures, weakness in capital adequacy, weaknesses in loan documentation, and internal control deficiencies (Janata Bank PLC, 2025). Hence, Janata Bank can be considered operationally significant and a high-risk bank in financial and control aspects.

2. Regulatory Framework Applicable to Janata Bank PLC

The Janata Bank PLC is a scheduled commercial bank in Bangladesh and is regulated under strict guidelines. The financial statements have been prepared on the basis that the bank's financial reporting is made in accordance with the Companies Act, Bank Company Act, the rules and regulations issued by the Bangladesh Bank, Securities and Exchange Rules, Income Tax laws, Value Added Tax and Supplementary Duty Act, labour laws and International Financial Reporting Standards as adopted in Bangladesh in line with the specific reporting requirements of Bangladesh Bank (Janata Bank PLC, 2023).

The most important regulatory frameworks for the 2026 audit are discussed below.

Bank Company Act and Bangladesh Bank supervision

Janata Bank is governed by the Bank Company Act, 1991 and is under continuous watch of the Bangladesh Bank. This framework affects licensing, capital requirements, liquidity requirements, loan classification, provisioning, corporate governance, related party exposures, branch operations and reporting to regulators. Previous year audit reports also make specific mention of the Bank Company Act, rules and regulations of Bangladesh Bank and the reporting requirements while providing their opinion on legal and regulatory compliance (Janata Bank PLC, 2024).

Capital adequacy and Basel III framework

Banks in Bangladesh are mandated to hold adequate capital based on the risk-based capital adequacy criteria of Bangladesh Bank in respect of credit risk, market risk and operational risk. The change was made to ensure banks are more resilient, and to increase the capital base of the banking sector, in accordance with the Basel III guidelines that Bangladesh Bank has issued, based on risk-based capital requirements (Bangladesh Bank, 2014).

As the audit report of Janata Bank in 2025 indicates the bank's reported CRAR is around negative 2.76% and the minimum requirement for capital adequacy is 12.50%, the framework has very much implications for Janata Bank. The report further reveals that when the provision shortfall is taken into account, the estimated CRAR is even more negative, showing a significant capital deficiency (Janata Bank PLC, 2025).

Loan classification and provisioning regulations

The BRPD circulars of Bangladesh Bank governs the classification and provisioning of loans. Bangladesh Bank Master Circular on Loan Classification and Provisioning, 2024 (Bangladesh Bank, 2024) was issued to enhance the credit risk management process and ensure transparency in financial reporting.

It is the core of the audit because Janata Bank has extremely high classified loans, and significant provision shortfalls. According to the 2025 auditors' report, classified loans held up to Tk

25,260.76 crore of the total Tk 35,902.73 crore loans and advances and the bank had provision shortfall of Tk 55,932.03 crore in loan and advance category only (Janata Bank PLC, 2025).

AML/CFT compliance

Janata Bank is a domestic and International Bank, remitter, Foreign Exchange and Trade Finance related unit, so it is required to be following the instructions of anti-money launder and combating financing of Terrorism issued by Bangladesh Bank and BFIU. The need for AML/CFT compliance arises out of the potential that a failure to maintain good practices in customer due diligence, transaction monitoring, remittance controls and suspicious transactions reporting can result in regulatory fines, reputational and financial reporting risks for the bank.

According to the 2025 auditors' report, AML compliance is weak, with weaknesses noted on AML circular requirements, the performance of customer due diligence, employee rotation and the monitoring of remittance (Janata Bank PLC, 2025).

Foreign exchange regulations

In line with the Guidelines for Foreign Exchange Transactions issued by the Bangladesh Bank, Janata Bank conducts foreign exchange transactions. Authorized Dealers must abide by the foreign exchange instructions issued by Bangladesh Bank and the scheduled banks may be given license to engage in foreign exchange activities under the relevant foreign exchange regime (Bangladesh Bank, n.d.-a).

This is important because Janata Bank has overseas branches, foreign remittance activities, import-export trade finance, letter of credit, nostro accounts and foreign currency balances. In addition, the 2025 auditors' report raises issues related to the exceedances of the Net Open Position limit, which is a sign of foreign exchange risk and regulatory compliance risk (Janata Bank PLC, 2025).

B. Comprehensive Risk Assessment

Overall Risk Assessment

Hence, Janata Bank PLC is categorized as a High-Risk potential audit client for the statutory audit of 2026 based on the financial statements and the independent auditors' reports. The reasons are primarily the bank size, high deterioration of the loan portfolio, very high NPLs ratio, significant provisioning shortfalls, negative or weak capital position, liquidity and maturity mismatch issues, foreign currency exposure, and frequent regulatory compliance issues.

From a client acceptance standpoint, this means the engagement shouldn't be considered a regular statutory audit. It would depend on improvements in audit planning, a bigger size of experienced audit staff, banking industry experts, IT audit experts, credit-risk experts, valuation experts, and a robust engagement quality review.

1. Credit Portfolio Quality Risk — High

The largest audit risk for Janata Bank is related to credit portfolio quality. Loan portfolio is extensive, complex and requires high degrees of judgment. Loans and advances are typically the largest asset class in bank audits and misstatements related to loan classification; interest recognition, valuation of collateral, and provisioning may have a material effect on the financial statements.

The loan portfolio of Janata Bank grew substantially during the years. In 2021, loans and advances stood at Tk 70,152 crore and by 2024, the number increased to Tk 100,940 crore (Janata Bank PLC, 2021; Janata Bank PLC, 2024). The growth in loans, however, was not underpinned by good asset quality. According to the audit report of the year 2025, total loans and advances were approximately Tk 105,119.15 crore, of which the classified loans amounted to approximately Tk 72,804.24 crore (Janata Bank PLC, 2025).

The audit' report also reveals a number of significant deficiencies in the administration of loans such as excess credit limits, poor loan renewal, mismatch of CL statements and source documents, incomplete loan information, inadequate loan documentation, weak monitoring, irregular rescheduling, and lack of physical inspection of loan facilities at Janata Bank PLC (2025). Such

weaknesses heighten the possibility of misclassification, overstatement, and underfunding of loans.

Credit Portfolio Quality Risk	High
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2. Non-Performing Loans Risk — High

The high proportion of classified loans is the important aspect of NPL risk at Janata Bank. According to the auditors' report of 2025, classified loans accounted for about 69.26% of the total loans and advances of the Janata Bank PLC (2025). This resulted in a very serious credit quality issue, due to the amount of loan portfolio classified (more than 2/3).

The NPL ratio is not the only problem. This is also a very serious provision deficit. The amount of loans and advances required for 2025 was Tk 62,497.24 crore, but the amount of loan in the bank was only Tk 6,565.21 crore. This led to a provision gap of around Tk 55,932.03 crore (Janata Bank PLC, 2025).

A large provision shortfall was also identified in the 2024 audit' report. Classified loans in the amount of Tk 68,060 crore, which is nearly 68.02% of total loans and advances, and the total provision shortfall was about Tk 49,078 crore (Janata Bank PLC, 2024). This demonstrates that the NPL problem is worsening and persistent.

Non-Performing Loans Risk	High
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3. Capital Adequacy Risk — High

One of the major risk factors affecting Janata Bank is capital adequacy risk, as Janata Bank has not been able to maintain the required regulatory level of capital. Banks are required to hold capital against three types of risks such as credit risk, market risk and operational risk in accordance with the Basel III framework adopted by Bangladesh Bank (2014).

According to the audit report for 2025, the bank's reported CRAR was around negative 2.76% as against the minimum requirement of 12.50%. The report also indicates that as per the provision

shortfall the estimated CRAR of the bank would be negative 100.81% on a solo basis (Janata Bank PLC, 2025).

This is a major concern and regulatory risk. A weak capital position could indicate that there is a lack of capital resources to withstand losses from substandard loans, investment losses, operating losses and shocks. It also makes the firm more reliant on government aid, regulatory forbearance, capital injection, defaulting borrowers' recoveries, and management's restructuring plans.

Capital Adequacy Risk	High
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4. Liquidity Management Risk — High

Liquidity risk is also high due to Janata Bank's weak ability to convert the assets into cash due to large amounts of classified loans. A bank with a big asset portfolio can also have a lot of non-performing loans, which may not produce the cash flows in a timely fashion.

The financial statements report cash, balances with Bangladesh Bank, balances with other banks and financial institutions, money at call and investments in government securities. These are used for liquidity management. The 2025 auditors report, however, reveals the issues of maturity mismatch and also suggests that mismatch in maturities of assets and liabilities can have a negative impact on the bank's liquidity position (Janata Bank PLC, 2025).

Liquidity risk is also linked to public confidence. As Janata bank is a state-owned bank, the depositors can expect the support of the government. But auditing cannot be based on public ownership alone. It would still be necessary to determine the bank's liquid position, deposits, funding and contingency plans.

Liquidity Management Risk	High
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5. Foreign Exchange Operations Risk — High

Foreign exchange exposure is the critical issue at Janata Bank, where it is engaged in import export trade finance, remittance, foreign currency accounts, letters of credit, guarantees and foreign banks. Foreign exchange guidelines by Bangladesh Bank state that for all foreign exchange

business, the Authorized Dealers must abide by the stipulated procedures and reporting requirements. (Bangladesh Bank, n.d.-a).

The 2025 auditors' report states issues with the bank's Net Open Position limit. Its Net Open Position limit was regularly exceeded, implying that it failed to adhere to regulatory guidelines, thereby resulting in foreign exchange risk for the bank (Janata Bank PLC, 2025).

Foreign exchange risk is relevant since the exchange rate may appreciate or depreciate, resulting in gains or losses. Foreign exchange operations are also subject to compliance risk, AML/CFT risk, sanctions risk, nostro reconciliation risk and off-balance sheet exposure risk. Off Balance Sheet exposures of the bank are high and should be given due care for audit, such as letters of credit, guarantees, acceptances and bills for collection (Janata Bank PLC, 2024).

Foreign Exchange Operations Risk	High
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6. Industry Risk Assessment — High

Systematic and institutional weaknesses affect Islamic Banking in conventional financial institutions such as Janata Bank PLC and have a direct impact in their financial stability.

- Asset Quality Issues & Extreme NPLs:** Financial reviews and audits conducted recently and early 2026, indicated that Janata Bank's non-performing loan (NPL) ratio was as high as 70%. The second highest amount of defaulted loans in the country has been classified as loans worth Tk 72,804 crore at the end of 2025. The spike underscores the bank's 'hidden' bad loans and stress in its asset portfolio. (*Janata Bank's Survival Plan Worsens Financial Strain*, n.d.)
Implication: This high level of NPL ratios indicates a high level of systemic credit risk and credit management failures.
- High-Cost Deposit Burden:** Janata bank management aggressively pushed for deposit in the period of liquidity crisis between the end of 2024 and the beginning of 2026 which resulted in the collection of deposits worth of BDT 300 billion. These deposits picked up at a high rate of 10-12%, and now pay the high interest, which represents 55% of the deposit base of the bank. (*Janata Bank's Survival Plan Worsens Financial Strain*, n.d.-b)

Implication: If fresh deposits are paid to cover expenses and payroll, then this is an indicator of long-term potential insolvency.

- **Profitability and Dividend Failures:** In 2025, operating deficit of the bank has jumped by BDT 35.98 billion compared to BDT 21.85 billion in 2024. As a result of these heavy losses, Janata Bank did not declare any dividend to the government for FY- 2025. (Issue-I, 2026)

Implication: There is a deteriorating position compared to private-sector peers, as indicated by the persistent operating losses and inability to return dividends.

- **Limited Shariah Compliant Instruments:** Islamic banking windows in conventional banks, such as Janata Bank, have limited access to HQLA. Islamic banking instruments like Sukuk and Islamic Treasury bills are less available than conventional market instruments due to the absence of a comprehensive formal Islamic banking law in Bangladesh.

Implication: Limited access to liquid Shariah instruments makes it difficult to effectively manage short-term liquidity needs

- **Liquidity and Capital Shortfall Pressure:** According to the internal data it seems that the bank's capital gap is expected to exceed BDT 660 billion in 2026. In investment activities the bank suffered a 40 billion BDT loss in 2025.

Implication: The bank's liquidity buffers are constrained by massive shortfall of capital and negative interest margins. (Issue-I, 2026)

Industry Risk Assessment	High
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7. Economic Conditions in Bangladesh — Medium

- **Overall growth of banking System vs Sector Stress:** Although the banking system has grown at a moderate pace of ~8–9% per annum, Janata bank has encountered serious internal stress. It had more than 70 % of its total credit marked as non-performing by the

end of 2025, which was significantly lower than the credit ratings of its sector peers. (Prince, 2026)

Implication: The bank's ability to compete for growth is severely restricted due to high NPLs and emphasis on bad debt recovery.

- **Financial Stability Pressure:** Janata Bank had the highest capital shortfall of Tk 19,973 crore in the state-owned financial sector as of September 2025. On top of these pressures, the government's operating deficit for FY-2025 was BDT 35.98 billion. (Prince, 2026)
- **Investment and Inflation Slow Down:** In the year 2025, the loss of the bank from only interest was BDT 40 billion. In recent years, due to macro-inflationary pressures, management has been forced to raise the interest rates of the deposits (10-12 percent) which now account for 55 percent of the total deposit base.

Implication: With a high cost of funds and a macro slow down, core profitability has been reduced and public confidence is also dampened. (*Janata Bank's Survival Plan Worsens Financial Strain*, n.d.-c)

Economic Conditions in Bangladesh	Medium
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8. Regulatory Changes — High

Regulatory actions and consolidation:

- **Asset Quality Reviews & Forensic Audits:** The central bank has ordered the banks to conduct Asset Quality Reviews to uncover the longstanding Non-Performing Loans (NPLs) in the state-owned banking industry. The Janata Bank's asset stress comes from these forensic reviews, which had taken the bank's NPLs to a critical level of Tk 72,804 crore by the end of 2025.
- **Bank Resolution Ordinance (2025):** This was enacted in May 2025, which empowers Bangladesh Bank (the central bank) to intervene in “non-viable” banks by way of mergers, acquisitions or temporary nationalization. The law provides the power to appoint administrators and to halt legal actions against distressed institutions to ensure system stability.

Implication: Janata Bank is one of the key banks that's facing capital deficit and is looking to the new resolution system to save it.

- **Stricter Dividend Declaration Policy (2025):** Banks with a greater than 10 percent NPL ratio will not be allowed to make any dividend declaration to shareholders under the new Dividend Declaration Policy of the RBI, which was released on March 13, 2025. Also, banks which experience deficiency in their loan provisioning or fall short of the required ratios (CRR/SLR) are not allowed to distribute profit. (Issue-I, 2026b)

Implication: Janata Bank has never been able to make a dividend declaration as it suffered a huge loss of Tk 3,931 crore in 2025 and its NPL ratio is much higher than its limit, which further reduces the interest of investors in the bank. (Issue-I, 2026b)

Regulatory Changes	High
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9. Digital Banking Transformation — High

- **Comparing the cost of modernizing infrastructure to legacy infrastructure:** To stay competitive, Janata Bank is trying to modernize via its "e-Janata" platform. But the bank has its challenges, as it has an operating deficit of BDT 35.98 billion by 2025 with a vast network of 920+ branches, which demands robust cybersecurity measures. (Bonikbarta, 2026)

Implication: When an organization is chronically underfunded, it is more likely to fall victim to fraud and downtime from a lack of investment in digital resilience. (Mickey & Yanhaona, 2024)

- **Competitive Digital Landscape:**

Bangladesh's top private sector banks such as BRAC Bank, Dutch-Bangla Bank and others have high expectations for innovations such as modern mobile wallets and agent banking. Janata Bank has introduced its mobile app but as of now it can't compete with these private-sector giants in terms of volume of transactions or user experience due to its current fiscal problems. (Daily Sun, 2025)

- **Digital Strategy Lag & Confidence Crisis:** However, customer trust has been severely damaged by governance problems and an unprecedented increase in non-performing loans (NPLs), which reached an unprecedented level of 70%. Such a lack of confidence will hamper the use of new digital services, as it will also prevent new customers from coming on board and cause the bank to be left behind by tech-savvy customers.

Digital Banking Risk	High
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Comprehensive Risk Assessment: Summary Table

Risk Area	Risk Level	Audit Focus
Credit Portfolio Quality	High	Loan classification, provisioning, and collateral valuation
Non-Performing Loans (NPL)	High	High NPL ratio and provision shortfall
Capital Adequacy	High	CRAR, Tier 1 & Tier 2 capital, provision impact on capital
Liquidity Management	High	Maturity gap, liquidity coverage, compliance with CRR/SLR
Foreign Exchange Operations	High	Net Open Position (NOP), off-balance-sheet foreign exchange transactions, AML/CFT compliance
Industry Risk Assessment	High	

		Sector competition, NPL trend, profitability, and industry risk
Economic Conditions in Bangladesh	Medium	Inflation, interest rate, exchange rate, liquidity, and repayment risk
Regulatory Changes	High	Bangladesh Bank compliance, provisioning, capital, and dividend rules
Digital Banking Transformation	High	IT control, cybersecurity, system reliability, and digital service capacity

C. Identifying and Discussing Independence, Ethics and Compliance

Independent ownership (indicator):

Janata Bank PLC is a state-owned commercial bank, whose shares are completely owned by the Government of the People's Republic of Bangladesh. There are no general public institutional or sponsor shareholders or individuals holding shares in the commercial banks. The bank is a Public Limited Company (PLC) owned and controlled by the Ministry of Finance.

Janata Bank PLC is a government-owned bank, which is under the jurisdiction of Commercial Audit Directorate (CAD) of Comptroller and Auditor General (CAG) of Bangladesh. According to Government Auditing Standards of Bangladesh (3.11) EO and bank have been acquainted for a long period of time as a threat to independence. The annual reports of Janata Bank show that the bank is being audited by an external auditor appointed by the government, after consulting with the central bank. The rotation of 3 years for public limited companies in Bangladesh is essential to reduce familiarity threats and maintain objectivity.

This is because the central bank, Bangladesh Bank, has stated that Bank Company External Auditor Rules 2024 require that auditors need to get a no-objection certificate (NOC) from the central bank, which also emphasizes the importance of independence and professionalism. Auditors must also declare independence in accordance with the International Ethics Standards Board for Accountants (IESBA) Code, which means that they must have no financial interests or impairments with the bank or its government owners. In the case of Janata Bank PLC, the challenge is greater to remain vigilant in the presence of any conflicts of interest or related party transactions with other state-owned enterprises which have the potential of influencing the auditors' judgment. Governing ownership does offer a capital safety net but it does require robust independence measures to ensure impartial reporting, particularly in high-risk areas such as loan provisioning and asset valuations, where the bank has had concerns. There were no specific instances found in public records of breaches of independence for the current audit period.

Ethical Considerations in Banking Sector Audits:

When it comes to banking sector Audits in Bangladesh, the principles of Integrity, Objectivity, Confidentiality and Competency of IESBA Code are to be followed with utmost care and caution. In situations of a Tk 3,066 crore net loss in 2024 and huge non-performing loans (NPLs), it has become essential for auditors to be objective and neutral to prevent unethical practices like understating the provision requirement. For public banks (such as Janata Bank PLC) using public money, further considerations of ethics are: that audits are in line with standards of accountability that focus on responsibility toward society and transparency. The financial statements and annual reports of Janata Bank show that the Bank has several difficulties in complying with important regulatory frameworks, such as Basel III. The bank's Capital to Risk Weighted Asset Ratio (CRAR) for the year which ended on December 31, 2024 was merely 0.93%, falling 11.57% short of the regulatory requirement. In addition, the bank recorded a massive net interest loss of Tk 3,042 crore, which showed the bank to be in huge financial distress compared to the performance benchmarks. (Dhaka Tribune, 2025)

Compliance with BSA:

The ICAB has adopted the International Standards on Auditing (ISAs) as Bangladesh Standards on Auditing (BSAs) and these standards regulate financial statement audits in Bangladesh, including for lender institutions like state-owned Janata Bank PLC. BSA 200 (Overall Objectives), BSA 240 (Fraud Responsibilities) and BSA 315 (Risk Identification) are key BSAs. In accordance with the Bank Company Act 1991, Janata's financial statements are audited in line with BSAs. For example, in the financial segments for the audit for 2025, there were disagreements with the stock registers and errors regarding the inventory, which resulted in a qualified opinion in accordance with the requirements of the BSA for a "true and fair" presentation. All circulars issued by the Bangladesh Bank, such as the "Bank Company External Auditor Rules 2024" that provides guidelines to appoint external auditors who are independent, are being followed. Other related circulars include internal controls (BRPD circular No. 14/2003) and loan provisioning. Janata Bank must comply with these for operations, such as maintaining provisions against classified loans. The bank's provision for losses stood at BDT 48,831 crore as of December 31, 2024, but it only showed up BDT 5,626 crore in its financials, showing a big mismatch with the requirement. (Dhaka Tribune, 2025)

Adherence to the Bangladesh Bank Circulars:

Bangladesh Bank publishes circulars for auditing of banks, which include the 'Bank Company External Auditor Rules 2024' that provides terms for appointment, scope and fees of the auditor for quality and independence. Further circulars that are relevant include those on internal controls (e.g., BRPD Circular No. 14/2003), risk management and classification of loans (e.g., BRPD Circular No. 11/2022). Janata Bank PLC has to abide by these for operations, including provisions for classified loans and interest suspense accounts. Financial statements from the bank include BB circulars, such as SRO-336-AIN/2010 for the Workers' Profit Participation Fund and particular letters of provision deferrals. For example, the bank's provisioning requirement for the end of 2024 had been BDT 48,831 crore, but it had only reported BDT 5,626 crore, which meant that the bank was experiencing a huge gap in provisioning. (Dhaka Tribune, 2025).

Compliance of Basel III requirements:

Basel III has been adopted in Bangladesh through Bangladesh Bank's "Guidelines on Risk Based Capital Adequacy" (BRPD Circular No. 18/2014), which prescribes a minimum Capital to Risk Weighted Asset Ratio (CRAR) of 12.5% (with 2.5% Capital Conservation Buffer). Janata Bank PLC publishes Basel III risk-based capital on its website, which includes the capital ratios along with risk-exposures across three pillars: minimum capital requirements, supervisory review and market discipline. At the end of December 31, 2024, however, Janata Bank's CRAR was at a critical level – 0.93 per cent, which is 11.57 per cent below regulatory requirement. This shortage led to the total capital shortfall of the bank to be around Tk 19,973 crore by the end of 2025, which seriously affected the financial health of the bank and its resilience to economic shocks. (Bonikbarta, 2026).

D. Preliminary Financial Information Review

Significant Accounting Policies

BAS-1: Presentation of Financial Statements The objective of this is to be comparable over time and with other companies, to be transparent, consistent, etc. This standard sets out overall requirements for the Structure of financial statements and minimum content requirements. It specifically requires entities to disclose the measurement basis.

BFRS 9: is the Bangladesh-specific adoption of IFRS 9. As a bank relies heavily on loans and borrowings, credit loss is one of the huge concerns for Janata Bank. A significant part of BFRS 9 is to implement a forward-looking Expected Credit Loss Framework as opposed to the old “Incurred loss” model. This will create a high risk to ensure that the bank is implementing these new policies truly and fairly. BAS-8 requires disclosure of any change in accounting policies, estimates, and errors. So, while implementing BFRS-9, the disclosure of this policy change must also be made.

BFRS-7 Financial Instrument: Disclosures: This is a special-purpose standard for banks and similar financial institutions that superseded BAS-30. It refers to BAS-1 for the disclosure of accounting policies, specifically requiring a summary of significant accounting policies, the measurement basis, and other relevant policies for understanding financial statements. This is a

requirement that mandates the disclosure of different balance sheet items. This includes disclosure of financial assets, liabilities, investments, borrowings, and deposits, Non-Performing Loans (NPLs), Liquidity management policies and risks, Market risks, etc. However, compliance with BFRS 7 has been noted as “not much impressive.”

BAS-8: Accounting Policies: represents accounting policies and changes in accounting estimates and errors. Here, changes in accounting policies and error correction are done retrospectively. And changes in accounting estimates (Depreciation, Warranty provision) are done prospectively. And it requires detailed disclosures.

BAS-18: Revenue: The policies that have been used for the recognition of revenue must be disclosed.

BAS 19 Employee benefits: This requires Janata Bank PLC to disclose accounting policies after employment benefits, equity compensation plans, and actuarial valuation methods. This standard also requires categorizing short-term and long-term employment benefits, termination benefits.

BAS-23: Borrowing Costs Policies that have been used for borrowing costs must be disclosed.

BAS-40: Investment Property specifies the recognition, measurement, presentation, and disclosure of investment property. It ensures proper valuation, proper disclosure, and comparable reporting. Which is very relevant for Janata Bank.

BFRS 15 Revenue: BFRS 15 is a financial reporting standard that establishes principles for recognizing revenue arising from contracts with customers. This standard identifies contracts with customers, identifies performance obligations, determines the price, allocates the transaction price to the performance obligations, and recognizes revenue after completing performance obligations.

While BFRS/BAS are crucial, they are mandatory only for listed companies. For other public and private companies and statutory bodies, they are merely recommendatory.

Bangladesh Bank (BB) Guidelines

BRPD Circular No. 14 (2003): This is one of the most important regulations for Janata bank. This comes from Bangladesh Bank guidelines about reporting format for bank accounting the First

Schedule of the Banking Companies Act, 1991. This circular provides a standardized format that is to be followed by bank institutions. This states how loans should be classified, when they become non performing, how much provision must be kept, etc.

BASEL 3: It is an international framework adopted by Bangladesh Bank to ensure enough capital and liquidity for financial stability for banks. It improves capital adequacy, risk management, liquidity position, and transparency. This standard requires banks to have minimum capital requirement set by Bangladesh Bank against credit risk.

Determine Specialized Knowledge Requirements

Banking Sector Expertise Required: Janata Bank Audit requires specialized knowledge of the banking sector as banking operations are different and complex than other industries. You are required to have the expertise that is needed in the regulatory arena in Bangladesh and in particular the Bank Company Act 1991 and the control by the Bangladesh bank. Additionally, this industry is also highly regulated. So as an auditor must have knowledge of proper regulations that applies to Janata Bank. Some crucial knowledge is Basel 3, CRR/SLR, and BRPD circulars. As for policies, an auditor must familiarize with the loan structure, interest rate policies, credit risks (NPL), Investment knowledge (Government securities, Treasury bills and bonds), etc.

IT Operations Audit Capabilities: Banking sector is a highly regulated and highly IT based industry. with the main problem of cybersecurity in the digitization of Bangladesh. The controls for this industry should already be highly regulated. The auditor must have an understanding how digital banking is handled. Also, the internal IT system should be compliance friendly and highly regulated. This is a high-risk environment so the IT governance framework should be checked with strict protocols. Security of ATMs, Mobile apps, internet banking has to be audited.

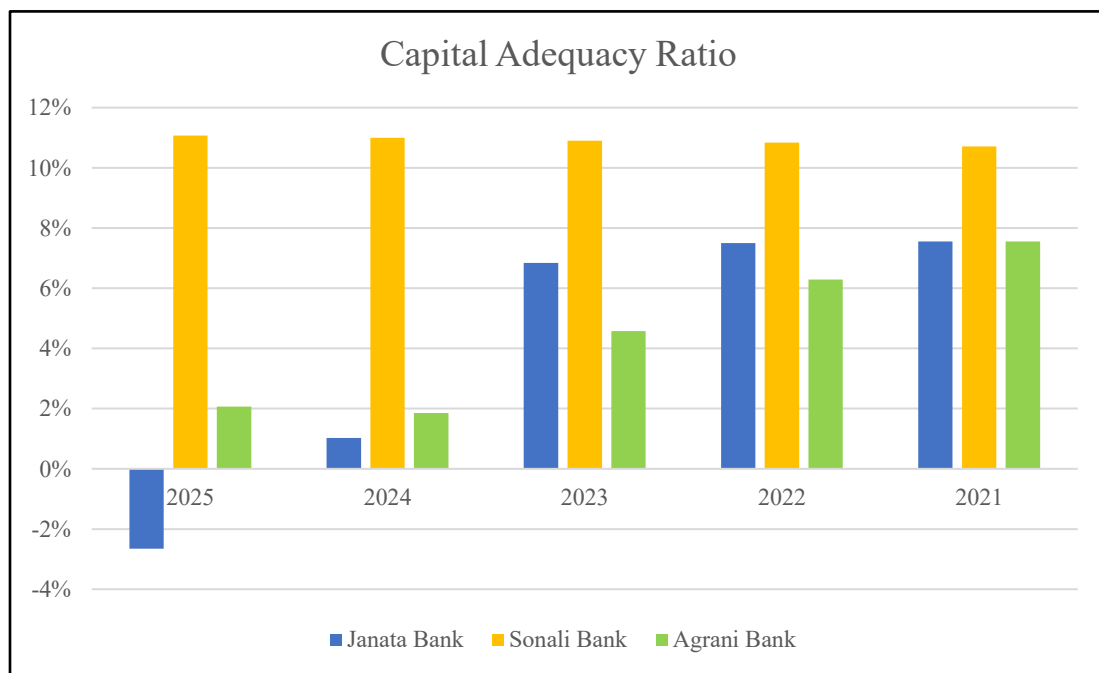
Treasury Operations Understanding: Treasury and liquidity management is one of the major activities of a bank. They are essential for smooth operations. Bangladesh bank has strict policies for commercial and state-owned banks to keep minimum reserves and liquidity. The treasury must keep compliance Cash Reserve Ratio (CRR), Statutory Liquidity Ratio (SLR), Liquidity policies according to Bangladesh Bank requirement. Must review FX exposures, liquidity (LCR/NSFR under Basel III) and investment valuations (i.e. 2024 government securities Tk 12, 959 million).

E. Initial Analytical Procedures

1. Capital Adequacy Ratio

$$\text{Capital Adequacy Ratio} = \frac{\text{Tier-1 Capital} + \text{Tier-2 Capital}}{\text{Risk-Weighted Assets}}$$

Capital Adequacy Ratio					
Bank	2025	2024	2023	2022	2021
Janata Bank	-2.652%	1.027%	6.839%	7.499%	7.559%
Sonali Bank	11.073%	11.003%	10.904%	10.842%	10.716%
Agrani Bank	2.064%	1.855%	4.576%	6.288%	7.557%



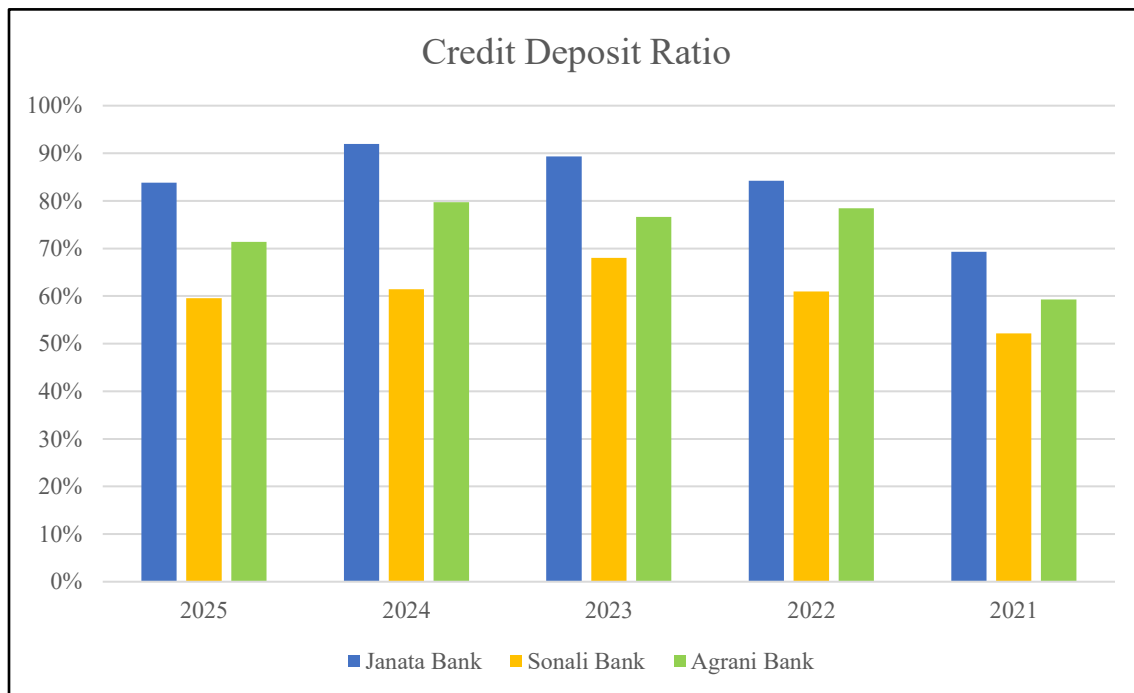
Janata Bank's Capital Adequacy Ratio indicates a **worrying downward trend** from 2021 to 2025. **In 2021**, it was around 7.5% then it gradually decreased to approximately to the **negative territory near -3% in 2025**. This decline indicates that the bank's **capital buffer is not enough** to withstand potential losses, signaling serious financial vulnerability and regulatory non-compliance risk. In

contrast, **Sonali Bank** maintains a stable CAR around **10–11%** across all years, reflecting strong capitalization and resilience. **Agrani Bank** has moderate CAR levels ranging from **2% to 7.5%**, indicating much better capitalization than Janata but weaker than Sonali.

2. Capital Deposit Ratio

$$\text{Capital Deposit Ratio} = \frac{\text{Total Loans and Advances}}{\text{Total Deposits}}$$

Capital Deposit Ratio					
Bank	2025	2024	2023	2022	2021
Janata Bank	83.834%	91.922%	89.342%	84.198%	69.317%
Sonali Bank	59.573%	61.457%	67.991%	60.979%	52.149%
Agrani Bank	71.402%	79.738%	76.616%	78.428%	59.266%

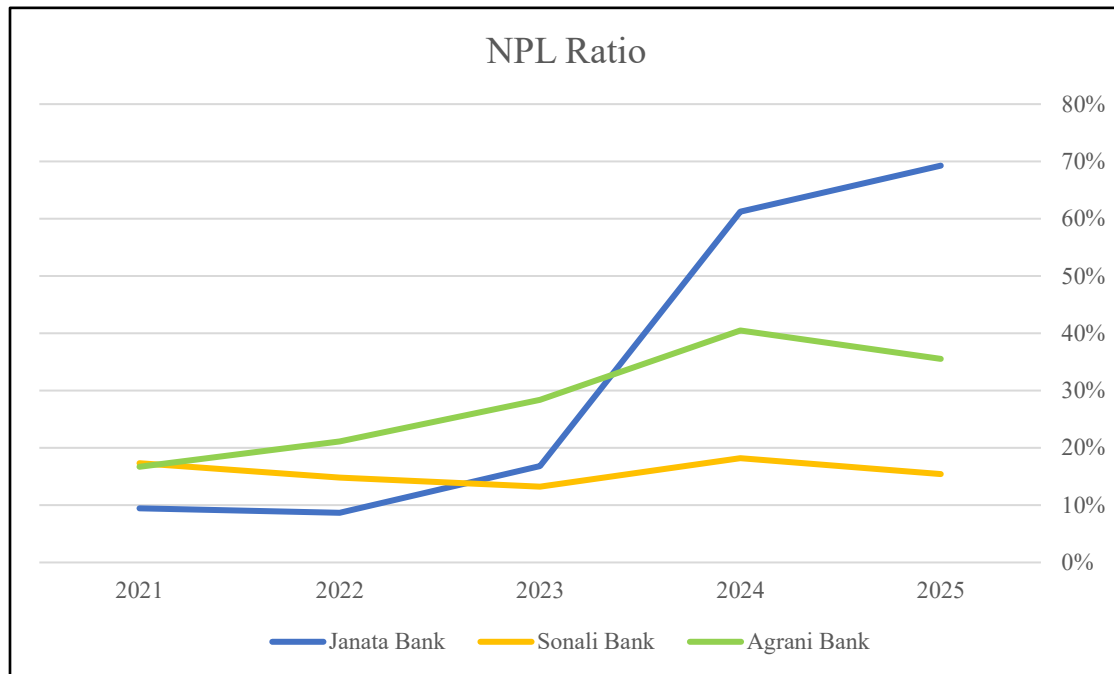


Janata Bank's Credit Deposit (CD) ratio indicates that there is consistently high lending efficiency from 2021 to 2025. Starting from around **70% in 2021**, then it increased to approximately **85% in 2022** and peaked approximately **92% in 2024**, reflecting aggressive deployment of deposits into loans and active credit growth. In 2025, the ratio slightly declined to about **85%**, suggesting a cautious approach to lending or a need to maintain liquidity. Compared to its peers, **Sonali Bank** maintains a more conservative CD ratio of roughly **52–68%**, indicating careful credit management, while **Agrani Bank** have moderate lending efficiency between **60–80%**, balancing growth and risk. Overall, Janata Bank high utilization of deposits, which supports credit expansion and potential revenue growth but also exposes the bank to higher **credit risk**, especially considering its rising NPLs and cost of funds. This highlights the bank's focus on growth, although with increased risk exposure.

3. NPL Ratio

$$\text{NPL Ratio} = \frac{\text{Non-Performing Loans (NPLs)}}{\text{Total Loans and Advances}}$$

NPL Ratio					
Bank	2025	2024	2023	2022	2021
Janata Bank	69.26%	61.240%	16.800%	8.670%	9.470%
Sonali Bank	15.400%	18.200%	13.230%	14.830%	17.320%
Agrani Bank	35.520%	40.490%	28.370%	21.110%	16.700%

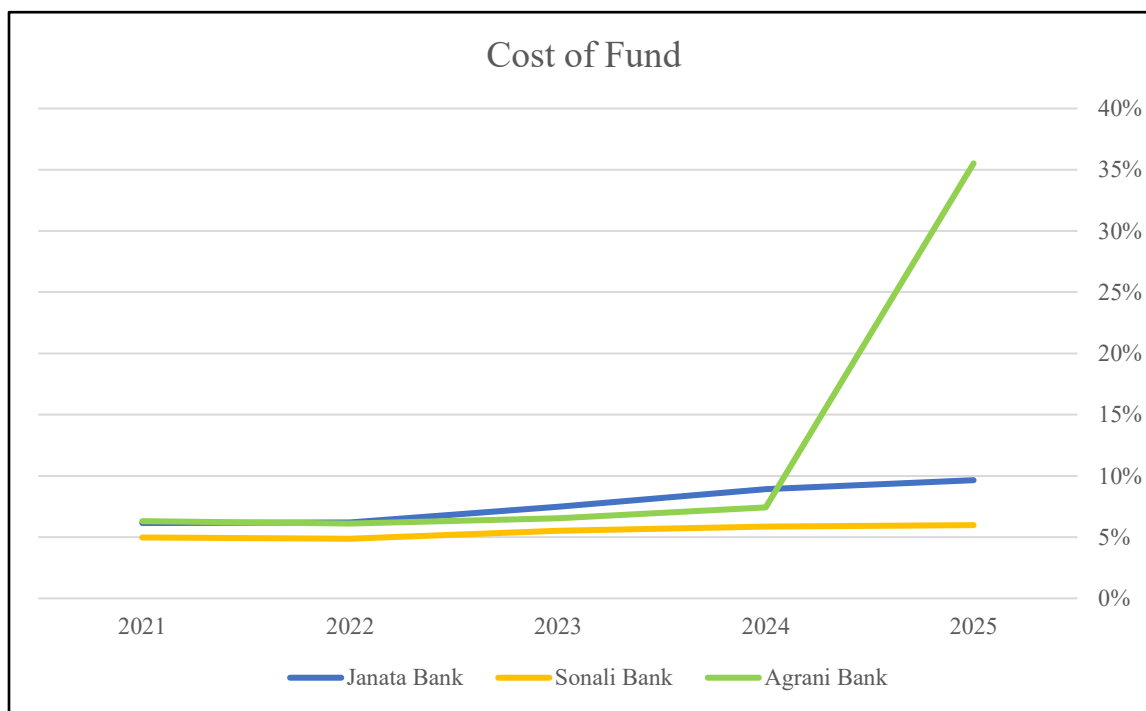


The Non-Performing Loan (NPL) ratio of Janata Bank has alarmingly worsened from 2021 to 2025, indicating an unpromising asset quality. The ratio was initially in the range of about 10% between 2021 and 2022, but zoomed to 30% in 2023 and then closer to 60% to 70% by 2025. This is a dramatic rise in the number of people who will be repaying their credit in arrears and a worrying stockpile of unpaid debts. Sonali Bank, on the other hand, had a much more stable profile, having a level of NPLs in the range of 15% to 18%, which is a result of strict loan monitoring. Agrani Bank was more volatile, rising to 40% in year 2024 and somewhat falling in 2025. Although credit risk has been managed within a relatively functional level in other banks, the situation faced by Janata Bank is alarming as its NPLs are rising continuously and are a serious problem for its financial health. Unless it fundamentally changes its risk management policies and loan recovery approaches, the profitability and long-term sustainability of the bank are at serious risk.

4. Cost of Funds

$$\text{Cost of Funds} = \frac{\text{Interest Expense}}{\text{Average Interest-Bearing Funds}}$$

Cost of Funds					
Bank	2025	2024	2023	2022	2021
Janata Bank	9.65%	8.930%	7.490%	6.210%	6.150%
Sonali Bank	5.980%	5.860%	5.520%	4.870%	4.980%
Agrani Bank	35.520%	7.420%	6.550%	6.110%	6.300%

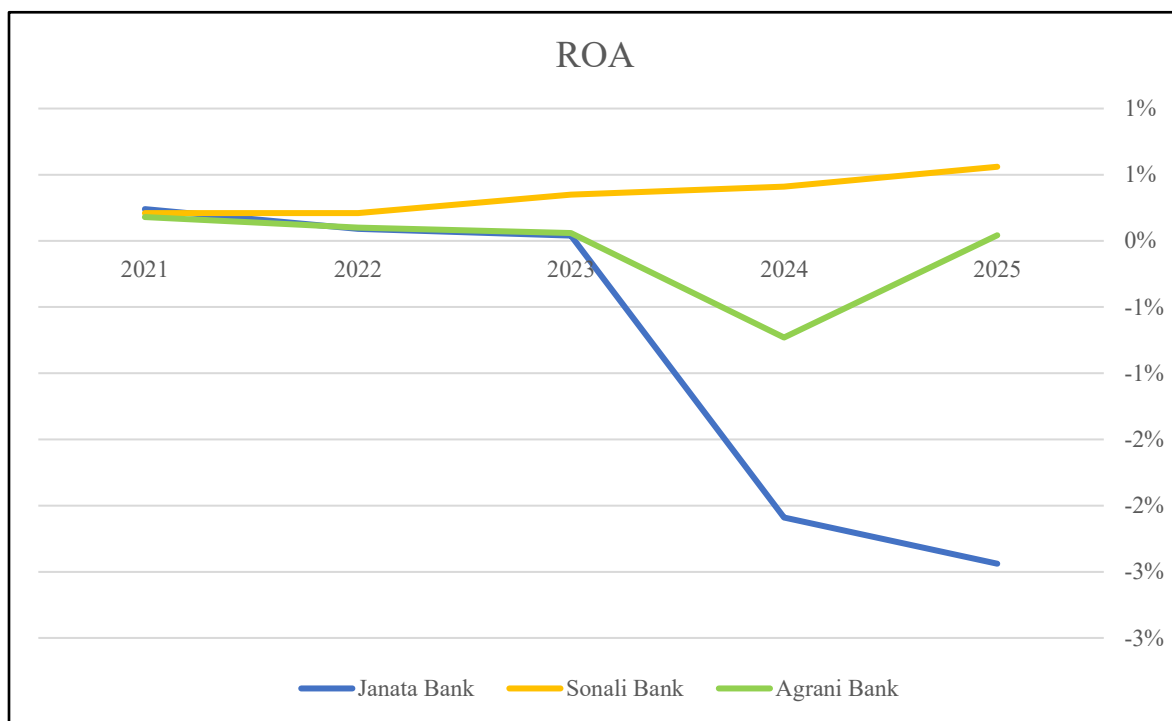


Financial profile of Janata Bank was kept in a decent condition with moderate variation, 7% to 11% for the cost of funds during 2021-25. There is a positive trend here, but the bank shows relative efficiency in getting its capital from borrowers than other banks. However, because of its high liquidity management, Sonali Bank is still a benchmark for the industry when it comes to stability, and consistently is able to secure funds within the 6–7% range. Agrani Bank, on the other hand, was highly volatile and after incurring an incredible cost of funds of about 36-37% it fell down to 10% by 2024 which certainly indicated that they faced a liquidity crisis some time back, and were at a high risk of borrowing. In the end, Sonali Bank is the least volatile and Agrani the most volatile while Janata Bank sits comfortably between them. It is also known for its controlled cost of capital, reflecting efficient management of funds and a prudent management of financial risks, making it a stable member of the industry.

5. Return of Assets

$$\text{ROA} = \frac{\text{Net Profit After Tax}}{\text{Average Total Assets}}$$

ROA					
Bank	2025	2024	2023	2022	2021
Janata Bank	-2.44%	-2.090%	0.040%	0.090%	0.240%
Sonali Bank	0.560%	0.410%	0.350%	0.210%	0.210%
Agrani Bank	0.042%	-0.730%	0.060%	0.100%	0.180%

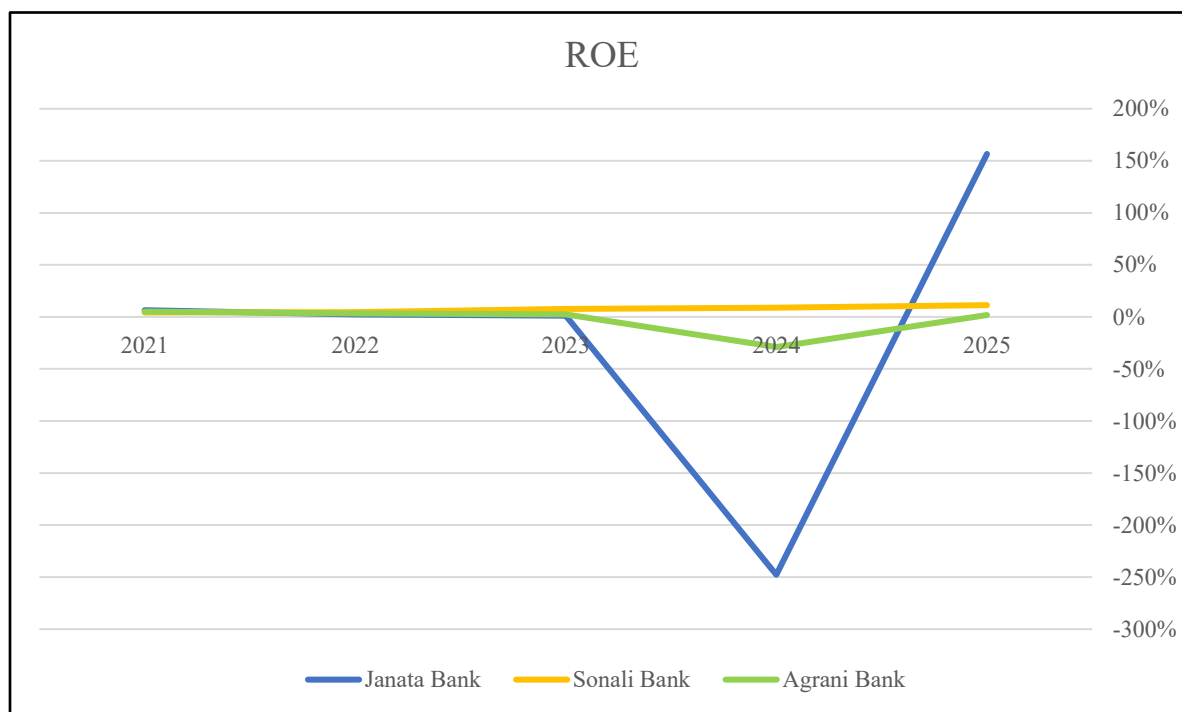


The Return on Assets (ROA) of Janata Bank has been weak over a long period of time compared to its peers. Its ROA has hovered around 0.1% from 2021 through 2023, which was followed by a dramatic decline to around -2.2% in 2024 and subsequently to -3% in 2025. The trend is downwards which indicates that the business may be less efficient or the assets it is operating on are of inferior quality. However, ROA of Sonali bank has been continuously improving since 2021 and will reach more than 1% by 2025, which is a sign of good asset management. Agrani Bank saw larger swings as it slipped back into negative growth for 2024 after essentially flat growth, and then rebounded to near positive growth in 2025. In summary, the performance of both Sonali and Agrani is good and strong while Janata bank is a bank under serious stress with important asset management problems.

6. Return of Equity

$$ROE = \frac{\text{Net Income}}{\text{Shareholders' Equity}}$$

ROE					
Bank	2025	2024	2023	2022	2021
Janata Bank	156.57%	-247.770%	1.200%	2.470%	6.330%
Sonali Bank	11.300%	8.860%	7.770%	4.700%	4.260%
Agrani Bank	1.764%	-28.930%	2.450%	3.430%	5.140%



The Return on Equity (ROE) of Janata Bank was extremely volatile during 2021-25, which is an indication of high risk and high return. It returned a modest 3–5% ROE for 2021–2022, but then dropped to -250% in 2023, and improved slightly to -10% in 2024, and then surged to 150% in 2025, which is misleading, this was actually caused by negative net income and shareholders' equity, giving a false indicator. On the other hand, Sonali bank and Agrani bank were extremely stable investment banks. During all the years, Sonali Bank had a stable and profitable ROE range between 10 to 15%. Agrani Bank, on the other hand, showed moderate performance with its short-term returns mainly clustered around 5% to 12%, although it briefly dipped into negative zone around 0% in 2024. In the end, Sonali Bank and Agrani Bank proved to be trusted and steady return investing options, Janata bank, with its financial swinging, proved a highly marketizing investment with a high rate of return.

PART II: AUDIT PLANNING

A. Engagement Letter

December 27, 2026

The Managing Director & CEO Janata Bank PLC.

Janata Bhaban (8th floor), 110 Motijheel Commercial Area

Dhaka-1000, Bangladesh.

Subject: Engagement for Statutory Audit and Regulatory Reporting for the Year Ending.

Dear Sir,

Following our recent discussions and your invitation, we are pleased to confirm our acceptance of the appointment as the statutory auditors of Janata Bank PLC for the fiscal year ending December 31, 2026. This letter outlines the terms of our engagement, detailing the scope of our responsibilities, the responsibilities of the Bank's management, and other key terms of our engagement.

1. Objective and Scope of the Audit

You have requested that we audit the financial statements of Janata Bank PLC, which comprise the statement of financial position as at December 31, 2026, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information. We are pleased to confirm our acceptance and our understanding of this audit engagement by means of this letter.

The objectives of our audit are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise

from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

The objective of our audit is to express an opinion on whether the financial statements present a true and fair view, in all material respects, the financial position of the Bank and its financials.

2. The responsibilities of the auditor

We will audit following the Bangladesh Standards on Auditing (BSA). We will audit following the Bangladesh Standards on Auditing (BSA). This requires us to comply with ethical standards and correctly plan and conduct the audit, and to exercise professional judgement and maintain professional skepticism.

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. However, we will communicate to you in writing concerning any significant deficiencies in internal control relevant to the audit of the financial statements that we have identified during the audit.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude and report on the appropriateness of the use of the going concern basis of accounting by those charged with governance and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report

to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Because of the inherent limitations of an audit, together with the inherent limitations of internal control, there is an unavoidable risk that some material misstatements may not be detected, even though the audit is properly planned and performed in accordance with BSA.

3. Responsibilities of Management and Those Charged with Governance

Our audit will be conducted on the basis that management and, where appropriate, those charged with governance acknowledge and understand that they have responsibility:

- A. For the preparation of financial statements including all other adequate disclosure is that of the management of the Company.
- B. For identifying and ensuring that the Company complies with laws and regulations applicable to its activities.
- C. For such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.
- D. For maintaining proper accounting records and, selecting and applying proper accounting policies consistently; and
- E. To provide us with:
 - (i) Access to all information of which management is aware that is relevant to the preparation of the financial statements such as records, documentation and other matters.
 - (ii) Additional information that we may request from management for the purpose of the audit; and

- (iii) Unrestricted access to persons within the entity from whom we determine it necessary to obtain audit evidence.

As part of our audit process, we will request from management and, where appropriate, those charged with governance, written confirmation concerning representations made to us in connection with the audit.

4. Identification of applicable financial framework

Our audit will be conducted under the Bank Company Act 1991 (amended) provisions and the International Standards on Auditing (ISAs) accepted by Bangladesh. Our audit aim is to provide an opinion regarding whether the financial statements present fairly the financial situation of the Bank in all material respects, according to:

Financial Reporting Standards of Bangladesh (BFRS)

Relevant circulars and directives of the Bangladesh Bank

- The Companies Act of 1994
- Other laws and regulations that apply
- Bangladesh Standards on Auditing (BSAs)
- Bangladesh Bank rules, regulations, and circulars,
- Securities and Exchange Rules 2020,
- Securities and Exchange Ordinance 1969,
- Income Tax Act 2023,
- VAT and Supplementary Duty Law,
- Financial Reporting Act 2015, and
- IESBA Code of Ethical Requirement.

5. Form and Contents of Auditor Report

We shall have a free auditor's report showing whether our financial statements are fair and comply with the required rules and laws. The report shall be of up-to-standard standards and regulations that the professionals maintain.

Let us remind you that there may be situations where the final report differs from what we expect. This can happen when we find major mistakes or cannot get enough accurate information while conducting the audit. In these cases, we might entirely alter our report or drop work on the project.

❖ Timeline and Deliverables

We plan to commence our interim audit procedures in Jan-Feb 2027. and the final audit upon closure of the financial year, with fieldwork to be completed by April 15, 2027. Draft financial statements and audit reports will be shared for management review by May 12, 2027, followed by the signing of audited financial statements and issuance of the audit opinion on June 25, 2027. Submission of the LFAR and other regulatory reports to the Bangladesh Bank will be made within the prescribed deadlines. This timeline is subject to the timely availability of information and full cooperation from your staff.

❖ Fees

Our fee for the statutory audit and the preparation of the required regulatory reports, as agreed in our proposal dated December 31, 2026, will be based on the scope of work, complexity of the engagement, and the resources required. The fee will be based on the time needed to complete the responsibility. Fees will be billed upon completion of key phases of the engagement and are payable within 30 days of the invoice date.

❖ Other Terms

The General Terms outlined in sections 8.1 to 8.10 and 9.0 to 11.0 of our standard engagement letters (a copy of which is attached for your reference) regarding confidentiality, intellectual property, retention of papers, and governing law shall apply to this engagement.

❖ **Agreement**

Please sign and return the attached copy of this letter to acknowledge your agreement with the terms of our engagement. If these terms do not meet your understanding, please contact us immediately.

We look forward to a productive and cooperative engagement. Yours faithfully,

ABC Auditor & Associates

B. Identifying Significant Accounts

Planning / Overall Materiality = 1,611,978,173,652*.25%

= BDT 4,029,945,434

Performance Materiality = 4,029,945,434* 0.5

= BDT 2,014,972,717

[Calculation provided on Page 45]

Identifying Significant Accounts	
Accounts	Balance [2025]
Investments	BDT 298,749,635,165
Loans and Advances	BDT 1,052,641,076,344
Deposits and Other Accounts	BDT 1,255,612,920,390
Provisions for Loans and Advances	BDT 181,020,471
Commission Interest and Brokerage	BDT 4,386,271,388

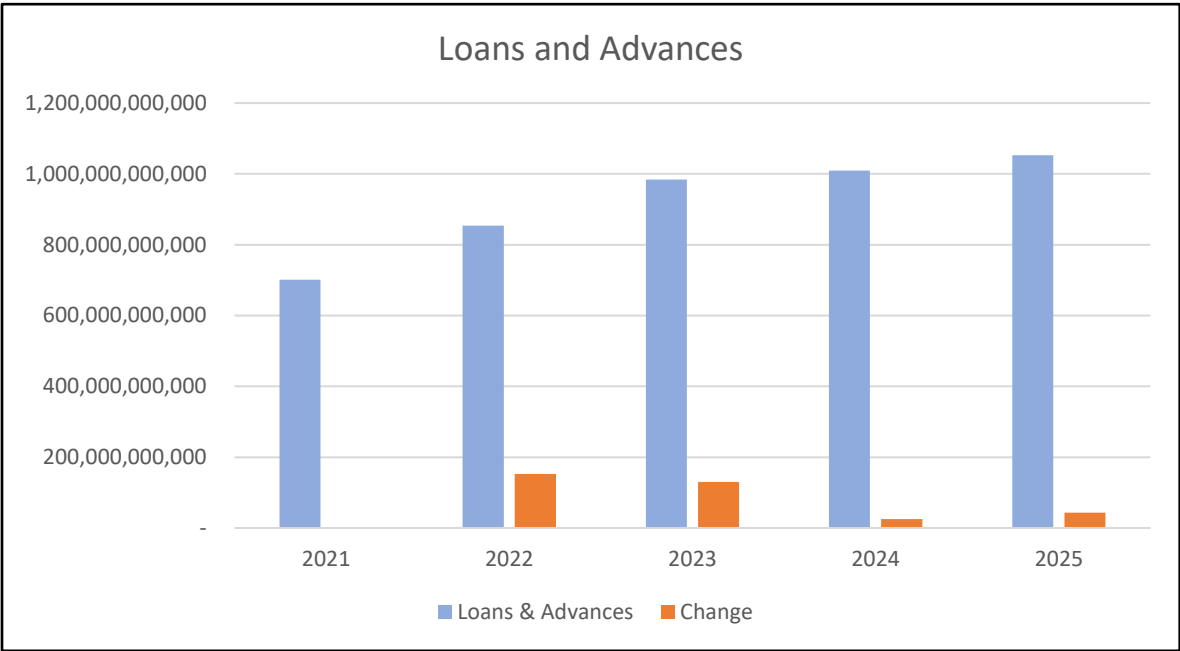
Every account by materiality is significant except for provisions for loans and losses.

But provisions for loans and advances fluctuated a lot that is why we have considered it a significant account.

The planning materiality of Janata Bank PLC is BDT 4,029,945,434 and BDT 2,014,972,717 is the performance materiality for preliminary audit of Janata Bank PLC. The amount of the balance at 2025 of the following loan and advance, deposit and other accounts, commission, exchange and brokerage and investments are considered quantitative material if the quantity exceeds the performance materiality limit: The performance materiality limits are not applied to the provision

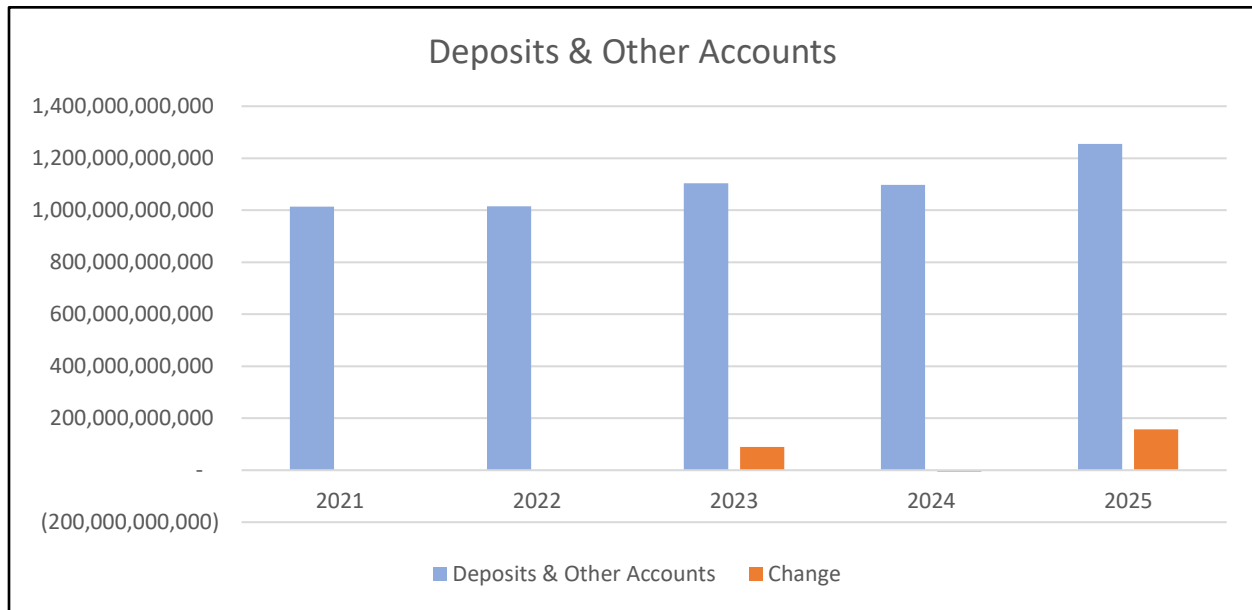
for loans and advances, but the accounts are deemed to be significant due to the material decrease in the accounts together with the high estimation risk.

Loans and Advances:



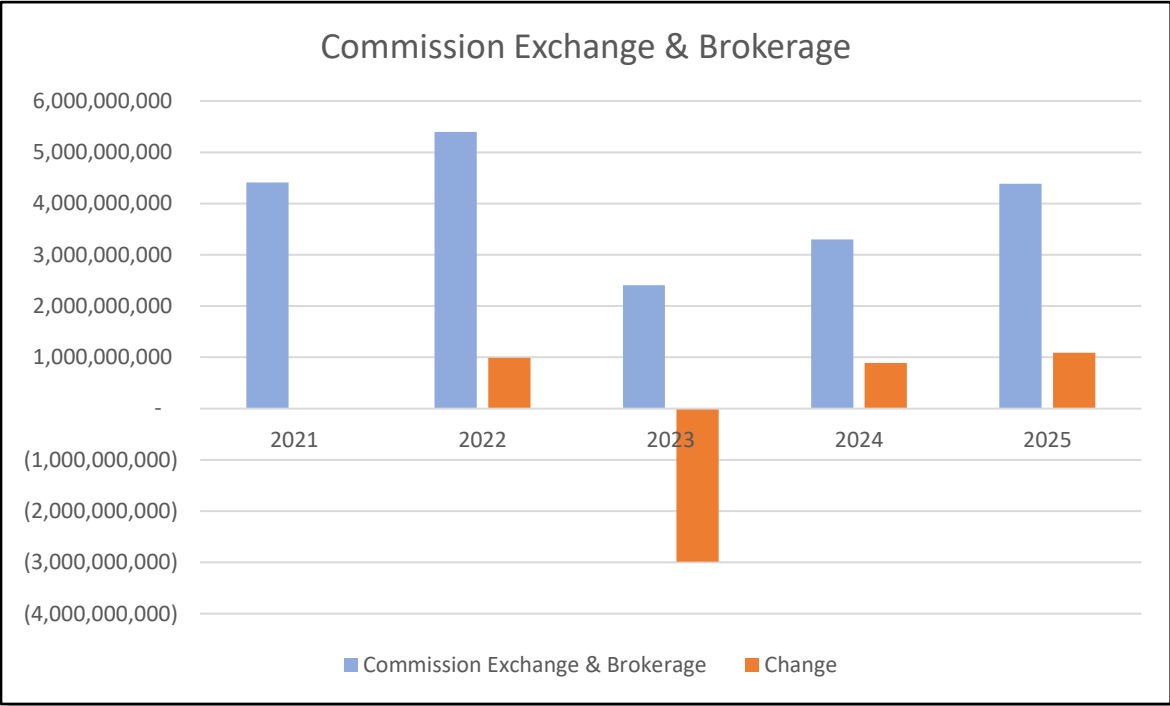
The biggest account on the asset side of the balance sheet is Loans and advances. The balance increased by BDT 351.12 billion in the year 2021 to 2025, which is about 50.05% in five years. The account also contains 65.30% of material account base selected and materiality account dedicated to the account is BDT 1.316 billion. The ongoing development of the account is critical for credit risk and recoverability, loan classification, collateral valuation and provisioning.

Deposits & Other Accounts:



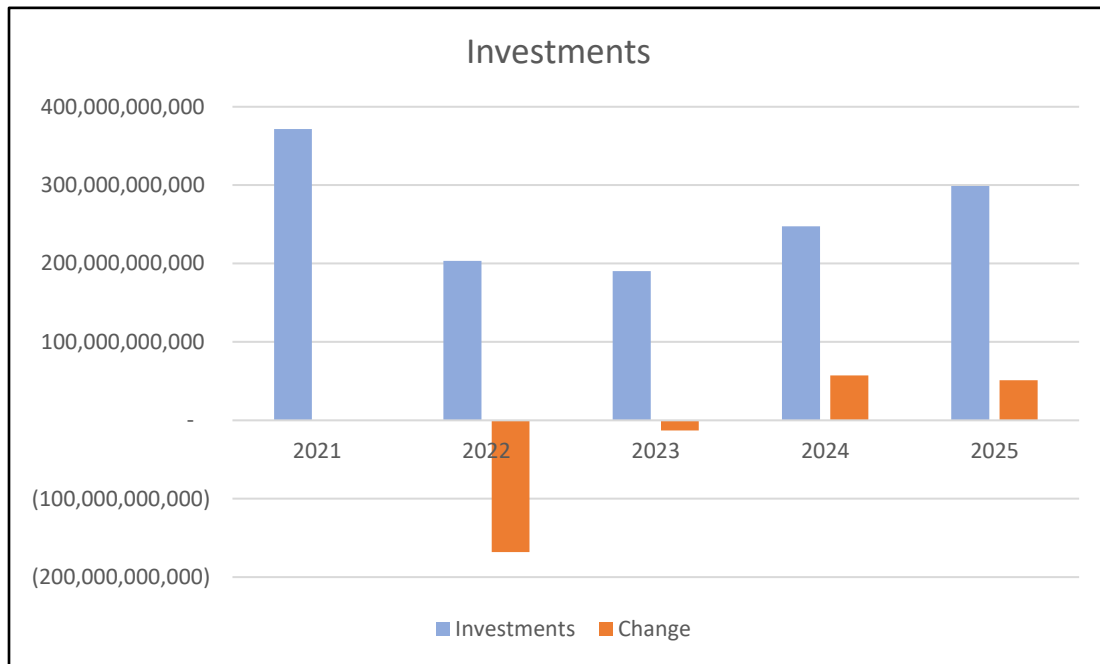
Also, the amount and influence of deposits and other accounts need to be taken into account, as do their size and impact on the bank's liquidity position. The balance increased from BDT 1,013.48 billion in 2021 to BDT 1,255.61 billion in 2025, with a major increase of BDT 157.51 billion in 2025. This account has been allocated with the specific materiality amount of BDT 1.570 billion, with 77.89% of selected account base. Completeness, accuracy, cut-off, and classification are the main audit issues for deposits because they are numerous customers and branches and are large volume.

Commission Exchange & Brokerage:



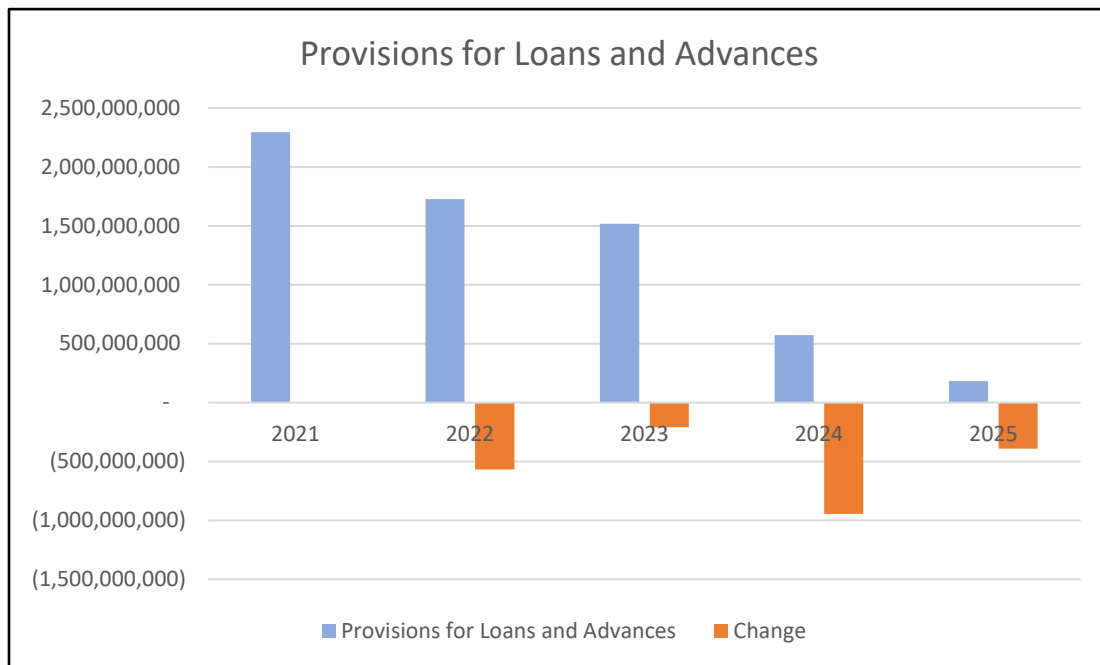
Commission, exchange and brokerage are significant as the Balance of BDT 4.386 billion for 2025 exceeds the performance materiality and overall materiality. The 5-year total is a bit the same as 2021, but with lots of volatility. The account had been growing in 2022, dropped precipitously in 2023 but recovered in 2024 and 2025. This variation requires attention for audit purposes, particularly revenue recognition, accuracy, cut-off, foreign exchange income, commission/brokerage income classification and others.

Investments:



The size of the investments is important as it is valued at BDT 298.75 billion as of 2025 which is much higher than performance materiality. The balance declined sharply from BDT 371.44 billion in 2021 to BDT 190.48 billion in 2023, before increasing to BDT 247.65 billion in 2024 and BDT 298.75 billion in 2025. This movement signal is the one that indicates the substantial changes that have taken place in an investment portfolio. The key audit issues are related to Existence, Ownership, Valuation, Impairment, Classification and Income Recognition.

Provisions for Loans and Advances:



The balance of loans and advances at 2025 is not quantitatively material as it was BDT 181.02 million, which is below performance materiality. Despite the decrease in balance from BDT 2.29 billion in 2021 to BDT 181.02 million in 2025, it is still considered as a major account as it has about 92.11% reduction. This is a significant drop which can lead to risk of under provisioning, classification of loan incorrectly, management bias and failure to comply with Bangladesh Bank requirements on provisioning.

In concluding, every significant point of importance is supported:

- Loans & advances, deposits & other accounts, commission exchange & brokerage and investments are the four accounts above the performance materiality.
- Loans and advances are subject to provisions which are not material but are important due to high fluctuations and judgmental estimation.
- The size and the effect on the financial position are important reasons why loans and deposits are significant.
- Importance of commission, exchange and brokerage due to materiality and volatility.

- Valuation and classification and impairment risk of investments and provisions are important.

Relevant Assertions for Key Accounts:

Account	Primary Assertions
Loans & Advances	Existence, Valuation and Allocation, Rights and Obligations
Deposits & Other Accounts	Completeness
Commission Exchange & Brokerage	Completeness, Cut-off, Accuracy
Investments	Existence, Valuation and Allocation, Rights and Obligations
Provisions for Loans & Advances	Completeness, Accuracy

Risk Response Strategies:

Account	High Risk Response	Medium Risk Response	Low Risk Response
	Detailed testing of high-value, overdue, rescheduled, written-off, forced, related-party loans; check sanction,	Sample testing of performing/non-performing loans; reconcile ledgers; review approval controls,	Analytical review of portfolio trends, interest income, exception testing of

Loans & Advances	disbursement, collateral, CIB, legal status, and impaired loan identification.	ageing, interest, and selected collateral; verify classification.	stable loans; ledger comparison.
Deposits & Other Accounts	Positive confirmations from major/institutional depositors; test KYC, dormant accounts, unusual movements; reconcile subsidiary ledgers.	Confirm selected deposits; test interest, maturity, branch reconciliations, and unusual movements.	Analytical review of deposit trends, mix, and interest relationships; limited confirmations for low-value stable accounts.
Commission Exchange & Brokerage	Test AD branch transactions, LCs, export/import, remittances, nostro accounts; verify docs, rates, cut-off, Bangladesh Bank reporting, revaluation.	Test selected FX transactions; verify rates, cut-off, documentation, and reconciliation items; review clearing of outstanding items.	Analytical review of FX income vs transactions; check year-end rates; follow up only unusual or aged items.
Investments	External confirmation of securities; verify ownership, valuation, income, amortization, classification, and impairment.	Test selected securities; review maturity, income, classification; reconcile with General Ledger; confirm govt. securities.	Analytical review of movement, yield, maturity, and income consistency; limited testing if stable and externally verified.
Provisions for Loans & Advances	Independently recalculate provisions; compare with CIB and inspection; test NPLs, rescheduled loans, recoveries, interest suspension, provision adequacy.	recalculate provisions for sample loans; review classification, ageing, recovery, and movement vs loan growth/NPLs.	Trend analysis vs loan growth and NPLs; review management reconciliation; low risk generally not recommended due to sharp decline.

Branch Audit Coverage Plan:

Janata Bank has more than 920 branches throughout Bangladesh. Auditors will be coming to visit one hundred to a hundred and twenty of them during 2026. The corporate offices of Motijheel have more risk, particularly those involved in big company accounts. So too is Narayanganj and Gazipur where bank financing is often strained in factories. Issues arise most frequently concerning false loans, revised asset values, and letter of credit problems. The chief check starts from Janata Bhaban in Motijheel, Dhaka, which is the base of the whole review process. The branch is affiliated with AnonTex Group, with a total of almost Tk 55.04 billion. Deeper reviews are conducted for Priority A offices, which then get full on-site audits. Focused checks are performed for areas of moderate concerns (Priority B). Meanwhile, locations which pose less threats are reviewed via central data analysis.

Selections were based on the financial risk factors, not random. Corporate-level sites are included and so are those that are marked as Authorized Dealers. Rising bad debt also was a factor in the location. So did spots with large deposits, or those that dealt with cross-border transactions. Notably among them is Janata Bhaban Corporate Branch, which will be given top tier review. The first step is to determine how loans are approved, next is tracking the payouts, asset value, loan types, reserve amounts and finally steps for the legal side if necessary. Big companies such as Beximco appear - along with Crescent, Thermax, Root and Bismillah appearing in the bank system logs, the credit info bureau data and findings by the central bank during audits.

Dhaka zones under consideration: Motijheel is the first, Dilkusha is second, Gulshan is in between, Banani is next, Uttara is the last and of course factories in Narayanganj and Gazipur are also included. In Chattogram, it's about Agrabad, onto Khatungonj, down to Jubilee Road, to EPZ spots. A number of remittance-related offices emerge in Sylhet, followed by a few in Khulna, with Rajshahi waiting, Rangpur joining at the last moment, Barishal at the middle and Mymensingh at the end, and Cumilla already packed in. One way to select branches is by examining the number of bad loans that they bear. Another one is to consider loans that are pushed to a later date. The lack of adequate reserves for losses is also significant when banks do not have enough money on hand.

There is some indication of risk levels in letters of credit activity. This includes money that is kept in accounts overseas or in mixed-up books. Some problems that were identified by the inspectors

of the Bangladesh Bank are discussed here. Reports to the rest of the community about biggest borrowers influence later results. When viewed in the context of classified loans, details provide more context. Group lending patterns reveal who is owed and who is owed to by linked groups. Reconciliation documents should be matched prior to decisions being made. These updates are pending for the last list.

C. Establish Materiality

	2021	2022	2023	2024	2025
Total Assets	BDT 1,251,413,602,513	BDT 1,277,621,798,347	BDT 1,389,805,563,860	BDT 1,474,204,125,915	BDT 1,611,978,173,652
Change	0.00%	2.09%	8.78%	6.07%	9.35%
Operating Income	BDT 26,086,197,147	BDT 26,146,694,840	BDT 22,903,462,026	BDT (2,882,370,470)	BDT (15,561,390,367)
Change	0.00%	0.23%	-12.40%	-112.58%	-439.88%

Both accounts are relevant, however, operating income lacks stability and predictability, as we can see from a -12.40 % decrease in 2023 and -112.58% in 2024 and -439.88% in 2025, whereas we saw a slight growth of .23% in 2022. Moreover, it is more difficult to predict the future operating income due to other external factors that we have mentioned in our report. Whereas, total assets are relatively stable between the two with a consistent increase in account balance, and it is more easily predictable due to the nature of the account, as it is far less volatile and sensitive to external factors.

Regulatory Requirements:

Significant Account	Relevant Regulatory Requirements
Loans and Advances	BRPD Circular No. 15/2024: Loan classification & provisioning- Bangladesh Bank CRR/SLR rules- Basel III Capital Adequacy (CRAR)- Bank Company Act 1991
Deposits & Other Accounts	Bangladesh Bank liquidity requirements (CRR/SLR)- Bank Company Act 1991 reporting- Deposit insurance & customer protection circulars
Investments	Bangladesh Bank reporting of government securities & treasury bills- BAS/BFRS valuation and disclosure requirements (BAS-40, BFRS 7)- Basel III risk-weighted asset treatment
Provisions for Loans & Advances	BRPD Circular No. 15/2024 (provisioning guidelines)- BFRS 9 Expected Credit Loss framework- Basel III impact on capital adequacy
Commission Exchange & Brokerage	Bangladesh Bank circulars on foreign exchange transactions- AML/CFT compliance requirements- BAS/BFRS revenue recognition (BAS-18, BFRS 15)

Inherent Risk	90%
Control Risk	95%

Following ISA 315, we used our professional judgement to determine inherent and control risk. We determined that both risks are high for Janata Bank PLC, the justification of which are as follows:

- **Inherent Risk:** Janata bank PLC exhibits extremely high inherent risk due to multiple amplifying factors such as extreme concentration and credit risk, high non-performing loans, and fraud risk. The credit portfolio is overwhelmingly dominated by exposure to Beximco Group which was also the reason for their extremely high NPL ratio. Deliberately underreporting NPL ratio points to management override and fraud which immediately makes auditing their reports as high risk. As such we have decided to assign an inherent risk of 90%.
- **Control Risk:** We have decided to assign a control risk of 95% because of some very glaring issues. Governance and oversight failures where the previous management engaged in balance sheet manipulation, underreporting NPLs, and inadequate provisioning, bypassing or overriding controls. This also relates directly to weak risk management and monitoring as the bank has failed to properly classify loans and maintain adequate. It also highlights ineffective control activities, information systems, and monitoring components. The biggest glaring issue being deliberate misrepresentation of financial position demonstrates that the control environment was compromised, with potential collusion or lack of independence in governance.

Therefore, $RMM = Inherent Risk * Control Risk$

Inherent Risk	90%
Control Risk	95%
RMM	85.5%

Our range for determining risk range is as follows:

RMM	Range (%)
High	75-100
Medium	50-75
Low	<50

As RMM is 85.5%, it falls under high risk. As Janata Bank PLC has been determined a high-risk client, we select the lower threshold for total assets for materiality calculation, which is lower of .25% - .5%

$$\text{Planning / Overall Materiality} = 1,611,978,173,652 * .25\%$$

$$= \text{BDT } 4,029,945,434$$

For the performance materiality threshold, we determined a range of 50-70%. We chose this range as this is the usual range when calculating materiality. As RMM is high risk, we choose the lower threshold, which is 50%. Therefore, performance materiality is calculated as follows:

$$\text{Performance Materiality} = 4,029,945,434 * 0.5$$

$$= \text{BDT } 2,014,972,717$$

Allocation to significant accounts

In our report, we have identified a few accounts that we deemed significant for our audit and we have allocated the performance materiality amount to those accounts in the following table:

Allocation to Significant Accounts			
Accounts	Balance	Allocation Percentage	Specific Materiality
Investments	BDT 298,749,635,165	18.53%	BDT 373,437,043.94

Loans and Advances	BDT 1,052,641,076,344	65.30%	BDT 1,315,801,345.39
Deposits and Other Accounts	BDT 1,255,612,920,390	77.89%	BDT 1,569,516,150.44
Provisions for Loans and Advances	BDT 181,020,471	0.01%	BDT 226,275.59
Commission Interest and Brokerage	BDT 4,386,271,388	0.27%	BDT 5,482,839.23

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